

Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.

AIR 2017 (NOC) 833 (All); 2017 (4) ALJ 19; (2017) 6 ADJ 344; WRIT-C No. 15130 of 2017

High Court of Judicature at Allahabad (HC-DB) | 2017-04-12 | Bench: Krishna Murari J, Ravindra Nath Kakkar J (2) | IK doc 100165726 | HC-011 | schema 1.0

A provisional assessment under Section 126(1) presupposes a lawful conclusion of unauthorised use, and no final assessment can be made or enforced — nor deposit compelled — without considering the consumer's objections and affording a personal hearing under Section 126(3) and Clause 8.1 of the U.P. Electricity Supply Code, 2005.

GOOD-LAW as of 2026-07 · provision-version OK: True

natural justice: good-law; consistent with the settled audi alteram partem requirement in Section 126(3) and the cited Allahabad DB line.

provisional/final: good-law on the distinction between provisional and final assessment and the bar on coerced deposit.

Not overruled. Applies the post-2007 Section 126 and the U.P. Electricity Supply Code, 2005.

FACTS & PROFILE

A residential (LMV-1) connection at NOIDA was let out to working girls through Nestway Technologies; on inspection the licensee alleged a commercial girls' hostel was being run (billable under LMV-2), lodged an FIR under Section 135(1)(e), disconnected supply and raised a provisional assessment of Rs 1,74,725. After an earlier writ led to a 50% deposit and objections, the licensee served a 'final notice' treating the provisional figure as final without considering the objections or granting a hearing.

Procedural posture	Writ petition under Article 226 challenging the 'final' assessment notices
Outcome for	consumer
Relief granted	Impugned notices quashed; deposit of provisional amount cannot be compelled; liberty to reassess after objections and hearing.
Consumer category	residential connection alleged put to commercial (hostel) use
Fact-pattern	residential-to-commercial-misuse, FIR-s135(1)(e), provisional-treated-as-final, no-hearing, objections-ignored
State	Uttar Pradesh
DISCOM / party	Paschimanchal Vidyut Vitran Nigam Ltd.
Statutory version	post-2007 (Act 26 of 2007) — current Section 126 and the U.P. Electricity Supply Code, 2005 (Clause 8.1(b)(iv) references '2 (two) times the rates')

Disposition: Writ petition allowed; the two impugned 'final' notices quashed as de hors Section 126 and Clause 8.1, with liberty to the licensee to complete a proper final assessment in accordance with law.

ISSUES FRAMED

INTERPRETATION OF THE ELECTRICITY ACT

Provisions construed: s.126(1), s.126(3), s.135(1)(e)

s.126(1) ratio post-2007 condition-precedent-provisional-assessment

s126 assessment

natural justice

The condition precedent to a provisional assessment under Section 126(1) is a conclusion by the Assessing Officer that the person is indulging in unauthorised use; that satisfaction cannot rest on the officer's mere 'vagaries' without a fair opportunity of hearing in defence.

“the condition precedent to the provisional assessment under Section 126(1) is a conclusion by the Assessing Officer that the person concerned is indulged with unauthorized use of electricity. Such satisfaction cannot be permitted to be recorded on the mere vagaries of the Assessing Officer unless a fair opportunity of hearing in defence before the said authority is provided.”

— para (analysis)

s.126 / s.135 ratio post-2007 natural-justice-applies-unless-excluded

natural justice

Principles of natural justice apply to proceedings for unauthorised use of electricity (which may in some cases also amount to an investigation under Section 135) unless excluded by the Act expressly or by necessary implication.

“It is well settled that principles of natural justice, unless excluded by the act in question or by necessary implication cannot be held to be inapplicable when a person is being indulged to the charge like unauthorized use of electric energy, which may, in some cases, also amount to investigation under Section 135 of the Act.”

— para (analysis)

s.126(3) ratio post-2007 final-assessment-requires-hearing

natural justice

provisional/final

A final assessment made without considering the consumer's objections and without a personal hearing (as required by Section 126(3) and Clause 8.1(b)(iii) of the 2005 Code) is dehors the statutory provision and cannot stand.

“procedure prescribed under Section 126 of the Electricity Act, 2003 and in Clause 8.1 of the 2005 Code issuing provisional assessment bill has not been followed at all as no opportunity was given to the petitioner for personal hearing nor there is anything on record to reflect that the objection filed by him was taken into consideration at all. Thus, the entire procedure adopted by the respondent is dehors the statutory provision.”

— para (analysis)

s.126 ratio post-2007 no-coerced-deposit-without-final-assessment

provisional/final

Absent a lawful final assessment made after considering objections and hearing, the consumer cannot be compelled to deposit the provisional amount.

“Without making final assessment after considering the objection and giving opportunity to the petitioner, he cannot be compelled to deposit any amount.”

— para (analysis)

REGULATIONS / SUPPLY CODE CONSTRUED

- **U.P. Electricity Supply Code, 2005, Clause 8.1(b) (inspection, provisional assessment, show-cause/hearing and final assessment procedure for theft/UUE)** — implements s.126 & s.135 procedure (made under Electricity Act, 2003)

AUTHORITIES CITED

Ashok Kumar v. State of U.P. 2008 (6) ADJ 660 (DB) · Allahabad High Court (DB)

followed

Cited for: Natural justice / prescribed procedure must be followed before final assessment under Section 126.

“The view being taken by us is fortified by various Division Bench judgments of this Court in the case of Ashok Kumar and others Vs. State of U.P. and others 2008(6) ADJ 660(DB), Kamil Vs. State of U.P. and others 2016(6) ADJ 11(DB) and Hazi Mohd. Yaseen Vs. Paschimanchal Vidyut Vitran Nigam Limited 2011(10) ADJ 261(DB).”

— the Court’s own treatment

Kamil v. State of U.P. 2016 (6) ADJ 11 (DB) · Allahabad High Court (DB)

followed

Cited for: Same effect on the mandatory hearing/procedure before final assessment.

Hazi Mohd. Yaseen v. Paschimanchal Vidyut Vitran Nigam Ltd. 2011 (10) ADJ 261 (DB) · Allahabad High Court (DB)

followed

Cited for: Same effect on the mandatory hearing/procedure before final assessment.

RATIO & WHAT WAS DECIDED

natural justice

HC-DB (Allahabad)

affirms

A Section 126 assessment is subject to natural justice: the provisional assessment presupposes a lawful conclusion of unauthorised use, and a final assessment (or any coerced deposit) is invalid unless the consumer's objections are considered and a personal hearing given, per Section 126(3) and Clause 8.1 of the 2005 Supply Code.

SIGNIFICANCE

An Allahabad Division-Bench authority quashing a 'final' assessment that was really a coerced provisional demand: it holds that Section 126(1) satisfaction of unauthorised use cannot rest on the officer's 'vagaries', that natural justice governs Section 126/135 proceedings unless excluded, and that no deposit can be compelled without a lawful final assessment made after objections and hearing under Section 126(3) and Clause 8.1 of the U.P. Supply Code. Useful on provisional-vs-final assessment and the natural-justice content of Section 126(3).

FLAGS

s.126(3) natural-justice: objections + personal hearing mandatory

provisional cannot be enforced as final

no coerced deposit without lawful final assessment

residential-let-as-hostel; FIR s.135(1)(e)

Clause 8.1 U.P. Electricity Supply Code 2005

post-2007-text

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